



[Weekly Market Commentary](#)

Dear clients,

The macro environment continues to be a key driver for crypto performance, as evidenced by the rebound in BTC prices following a slightly lower-than-expected April CPI print. That said, questions around the Fed's monetary policy, while important, may be a distraction from the more pertinent issues of industry regulation directly affecting the crypto asset class. One of the most anticipated decisions in the near term is the Securities and Exchange Commission's ruling on spot ETH ETFs, with a final deadline of May 23 and 24 for the VanEck and Ark-21Shares applications. Meanwhile, bipartisan support for repealing SAB 121 in both the US House of Representatives and Senate reinforces our view that crypto will grow in political significance as the November 2024 elections draw near – representing the interests of the more than 52 million Americans who [own](#) crypto.

Separately, we find that many airdropped tokens over the past month have displayed a pattern of heavy initial outflows over the first 24-48 hours post-launch – before some price stability and/or recovery. This is in contrast to many earlier airdrops in 1Q24, which were bolstered by a more widespread market rally led by the US spot bitcoin ETF approvals. We think the tailwinds behind some of these narratives have lost steam, and that near term launches are likely to follow similar patterns in the absence of larger industry-wide catalysts.

Finally, check out our recent [Monthly Outlook](#) where we examine the fundamental demand drivers for ether (ETH) and make sense of its confluence of categorizations. We continue to believe that Ethereum's long-term positioning remains strong and that it has important advantages that meaningfully distinguish it from other smart contract networks. It also has major liquidity sinks centered around its staking and L2 expansions, and appears to capture both store-of-value and technology-token trading patterns. Despite underperforming YTD, we think it has room to surprise to the upside and outperform in 2H24.

Read full report

Best,
The Coinbase Institutional Team

Weekly Market Call

View replays of our weekly crypto market analyses from our Americas, APAC and EMEA Coinbase Institutional teams.

[Watch now →](#)

Also, please take a look at our [Institutional Research portal](#) for an archive of all our research reports.

Subscribe

Not subscribed to the Weekly Market Commentary and want to be added to the list?

[Subscribe here →](#)



COINBASE and related logos are trademarks of Coinbase, Inc., or its Affiliates. The views and opinions expressed herein are those of the author(s) and do not necessarily reflect the views of Coinbase and summarizes information and articles with respect to cryptocurrencies or related topics. This material is for informational purposes only and is only intended for sophisticated investors, and is not (i) an offer, or solicitation of an offer, to invest in, or to buy or sell, any interests or shares, or to participate in any investment or trading strategy, (ii) intended to provide accounting, legal, or tax advice, or investment recommendations, or (iii) an official statement of Coinbase. No representation or warranty is made, expressed or implied, with respect to the accuracy or completeness of the information or to the future performance of any digital asset, financial instrument or other market or economic measure. The information is believed to be current as of the date indicated and may not be updated or otherwise revised to reflect information that subsequently became available or a change in circumstances after the date of publication. Coinbase, its affiliates and its employees do not make any representation or warranty, expressed or implied, as to accuracy or completeness of the information or any other information transmitted or made available. Investing in cryptocurrency comes with risk. Certain statements in this document provide predictions and there is no guarantee that such predictions are currently accurate or will ultimately be realized. Prior results that are presented here are not guaranteed and prior results do not guarantee future performance. Recipients should consult their advisors before making any investment decision. Coinbase may have financial interests in, or relationships with, some of the assets, entities and/or publications discussed or otherwise referenced in the materials. Certain links that may be provided in the materials are provided for convenience and do not imply Coinbase's endorsement, or approval of any third-party websites or their content. Any use, review, retransmission, distribution, or reproduction of these materials, in whole or in part, is strictly prohibited in any form without the express written approval of Coinbase. Coinbase, Inc. is licensed to engage in virtual currency business activity by the New York State Department of Financial Services.



[Get in touch](#)

[Unsubscribe](#) from future editions of this type of message.